

India's China Moment



In the 1990s, China began rapidly expanding its manufacturing capacity. At the same time, India, grappling with a balance of payments crisis, launched sweeping economic reforms—dismantling the Licence Raj and opening up to the global market. These reforms sparked a surge in economic growth.

Meanwhile, the United States dramatically increased outsourcing to China, turning it into a critical trading partner. In 2001, China joined the World Trade Organization—a watershed moment in global trade. By 2008, the Communist Party-led nation had overtaken the US as the world's dominant manufacturing powerhouse.

Nearly two decades later, the US, under Donald Trump, is attempting to reverse over 40 years of globalisation that helped fuel China's rise.

America now seeks to 'decouple' from China, raising import duties to a staggering 145%. For the rest of the world, including economies seen as transshipment hubs for Chinese goods, Trump's pause offers a glimmer of hope, with a 90-day window to negotiate deals. Yet, the hardline views of Peter Navarro, the controversial economist and author of *Death by China*, and Stephen Miran, the current Chairman of the Council of Economic Advisers, suggest that the global trade war is far from over.

For India, this dramatic shift in the world trade order presents a critical question: Can it seize the moment to position itself as a credible alternative to China? Some answers can be found in the recent debate after Commerce Minister Piyush Goyal's comments on Indian start-ups. Many founders argue that the true hurdle to entrepreneurship in India isn't capital or talent, but "regulatory cholesterol". A modern-day compliance *raj* throttles ease of doing business across our nation.

There are signs that the government, perhaps frustrated by the stagnant share of manufacturing in India's GDP despite years of policy support, is preparing to pivot. A proposed deregulation commission could usher in a new wave of reforms, unlocking Indian enterprise and industrial potential.

Trump's tariff shock offers India a rare strategic opening. As countries race to strike deals with the US and reduce dependency on China, India must act fast, finalising trade pacts not just with the US, but the United Kingdom and the European Union, among others. A bunch of new trade agreements this year could echo the transformative spirit of the early 1990s and help mitigate risks to Indian exports.

To do so, India must also be ready to confront its long-standing red lines on agriculture and dairy imports. The nation cannot be held hostage to a few entrenched domestic lobbies. Businesses that can't compete must adapt or make way.

The globalisation-fuelled era of trade is on its knees, and India must stay nimble. For now, Donald has ducked his fight with everyone except China, but he may return with a sucker punch.

Let us not miss this moment. Trump may not knock twice. **BT**

Siddharth

siddharth.zarabi@aaajtak.com
@szarabi

Business Today

<http://www.businesstoday.in>

Chairman & Editor-in-Chief: Aroon Purie
Vice Chairperson & Executive Editor-in-Chief: Kalli Purie
Group Chief Executive Officer: Dinesh Bhatia
Executive Director: Rahul Kanwal
Chief Operating Officer: Alok Nair
Editor: Siddharth Zarabi
Group Creative Editor: Nilanjan Das
Group Photo Editor: Bandep Singh
Executive Editor: Krishna Gopalan
Executive Editor, BusinessToday.in: Arvin Vincent

CORRESPONDENTS

Economy Editor: Surabhi
Senior Editor: Neetu Chandra Sharma
Editor (Money Today): Teena Jain Kaushal
Associate Editor: Chetan Bhutani
Senior Assistant Editors: Arnab Dutta, Palak Agarwal, Richa Sharma
Senior Correspondents: Riddhima Bhatnagar, Karishma Asoodani
Principal Correspondent: Aastha Chopra
Correspondent: Astha Oriel

RESEARCH

Chief of Research Bureau: Rahul Oberoi
Principal Research Analyst: Prince Tyagi

COPY DESK

Senior Editor: Mahesh Jagota
Senior Assistant Editor: Vikram Gopal
Assistant Editors: Bitasta Basu, Kamalika Ghosh

PHOTOGRAPHY

Deputy Chief Photographer: Rajwant Singh Rawat
Staff Photographer: Hardik Chhabra
Photo Coordinator: Vidushi Mehrotra

ART

Art Director: Rahul Sharma
Associate Art Director: Raj Verma
Assistant Art Director: Kaushik Mukherjee

EVENTS

Senior Manager: Sourabh Dutta

PRODUCTION

Chief of Production: Harish Aggarwal
Deputy Manager: Narendra Singh
Production Coordinator: Ayekpam David Meitei

LIBRARY

Assistant Librarian: Satbir Singh

Executive Secretary: Jyoti Kochhar

BUSINESS TEAM (MAGAZINE)

National Head-Business Today Magazine: Siddhartha Chatterjee
Assistant General Manager: Girish C

BUSINESS TEAM (BT TV)

Branch Head-North: Ankush Madan

AD OPS

Deputy General Manager: Avinash Karkera
Marketing: Vivek Malhotra, Group Chief Marketing Officer
Newsstand Sales: Deepak Bhatt, National Head-Distribution; Rajeev Gandhi, General Manager (North); Yogesh Godhanlal Gautam, Regional Sales Manager (West)

Vol. 34, No. 9, for the fortnight April 14, 2025 to April 27, 2025. Released on April 14, 2025.

● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301; Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): A1-A2, Enkay Centre, Ground Floor, V.N. Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001; Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One World Center (Jupiter Mills), S.B. Marg, Lower Parel (West), Mumbai-400013; Tel: 022-69193355; Fax: 022-66063226; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai, Teynampet, Chennai-600018; Tel: 044-28478525; Fax: 044-24361942; Bangalore: 202-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22212448, 080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th floor, Kolkata-700071; Tel: 033-22825398, 033-22827726, 033-22821922; Fax: 033-22827254; Hyderabad: 6-3-885/7/B, Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657, 040-23400479; Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati, Off. C.G. Road, Ahmedabad-380006; Tel: 079-6560393, 079-6560929; Fax: 079-6565293; Kochi: Karakkatt Road, Kochi-682016; Tel: 0484-2377057, 0484-2377058; Fax: 0484-370962 ● Subscriptions: For assistance contact Customer Care India Today Group, C-9, Sector-10, Noida (UP) - 201301.

Email: wecare@intoday.com | Phone / Whatsapp: +91 8597 778 778 (Monday to Friday, 10 am-6 pm)
● Sales: General Manager Sales, Living Media India Ltd, C-9, Sector 10, Noida (U.P.) - 201301; Tel: 0120-4019500; Fax: 0120-4019664 ● 1998 Living Media India Ltd.
All rights reserved throughout the world. Reproduction in any manner is prohibited.

● Printed & published by Manoj Sharma on behalf of Living Media India Limited.
Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007, (Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001.
Editor: Siddharth Zarabi

● Business Today does not take responsibility for returning unsolicited publication material.
All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/New Delhi only.



For reprint rights and syndication enquiries, contact syndications@intoday.com or call +91-120-4078000

www.syndicationtoday.in